Lesson 23 – Planning Process and Goal Levels (MGT503)

📘 Lecture Summary

Planning Process and Goal Levels

Overall Planning Process

Planning is a two-part managerial function:

Setting goals (objectives) – future targets an organization wants to achieve

Developing plans – means for achieving those goals

An organization's mission defines its fundamental purpose or reason for existence.

Mission Statement

A mission statement is a broad declaration that distinguishes an organization from others.

Purposes of a Mission Statement

For managers: benchmark for evaluating success

For employees: creates shared purpose and loyalty

For external stakeholders: communicates values and future direction

Mission statements typically address:

Customers

Products or services

Location/markets

Technology

Philosophy and values

Self-concept (strengths and competitive advantages)

Public image

Concern for employees

Types of Plans

Plans differ in four main ways:

Breadth

Strategic plans: organization-wide, long-term

Operational plans: detailed plans for achieving objectives

Time Frame

Short-term plans: one year or less

Long-term plans: more than three years

Specificity

Specific plans: clearly defined, no ambiguity

Directional plans: flexible guidelines

Frequency of Use

Single-use plans

Standing plans

Nature and Levels of Organizational Goals

Goals offer several benefits:

Improve performance

Clarify expectations

Facilitate controlling

Increase motivation

Organizations have a hierarchy of goals:

Strategic goals – set by top management

Tactical goals – set by middle management

Operational goals – set by lower management

These goals form a means–end chain.

How Goals Facilitate Performance
Effective goals should be:
Challenging
Attainable
Specific and measurable
Time-limited
Relevant
Goal commitment is the determination to achieve a goal. Without commitment, goals have little effect.
Managers can enhance goal commitment through:
Supervisory authority
Peer pressure
Coaching and instruction
Incentives and rewards
Employee participation
Goals influence work behavior by providing:
Direction
Increased effort
Persistence
Motivation for planning
Factors Influencing Goal Effectiveness
Job knowledge and ability
Task complexity
Situational constraints
Feedback on performance
Planning, Innovation, and Obstacles
Planning can promote innovation through:
Mission statements
Innovation-supportive goals
Action-oriented plans
Obstacles to planning include:
Rapid environmental change
Resistance to formal planning
Time pressure
Poor managerial preparation
Organizations can overcome obstacles by:
Top management support
Planning staff assistance
Contingency planning (alternative plans)
📝 20 MCQs (VU Paper Pattern)
1. Planning consists of:
A. Organizing and controlling
B. Staffing and leading
C. Setting goals and developing plans
D. Decision making only
✅ Correct: C
2. A goal is best defined as:
A. A policy

B. A future target
C. A procedure
D. A plan
✅ Correct: B
3. A mission statement describes an organization's:
A. Daily activities
B. Financial targets
C. Fundamental purpose
D. Marketing strategy
✅ Correct: C
4. For employees, a mission statement mainly helps to:
A. Increase salaries
B. Reduce workload
C. Create shared purpose
D. Improve supervision
✅ Correct: C
5. Strategic plans are:
A. Departmental
B. Short-term
C. Organization-wide
D. Informal
✅ Correct: C
6. Plans covering one year or less are:
A. Strategic
B. Long-term
C. Tactical
D. Short-term
✅ Correct: D
7. Directional plans are:
A. Rigid
B. Detailed
C. Flexible
D. Costly
✅ Correct: C
8. Which plan leaves no room for interpretation?
A. Directional plan
B. Standing plan
C. Specific plan
D. Operational plan
✅ Correct: C
9. Strategic goals are set by:
A. Supervisors
B. Middle managers
C. Lower managers
D. Top management
✅ Correct: D
10. Tactical goals are usually set by:
A. Top management

B. Middle management
C. Employees
D. External consultants
✅ Correct: B
11. Operational goals emphasize:
A. Broad targets
B. Long-term vision
C. Measurable outcomes
D. Industry trends
✅ Correct: C
12. The hierarchy of goals forms a:
A. Feedback loop
B. Means–end chain
C. Control system
D. Communication chain
✅ Correct: B
13. Challenging goals generally lead to:
A. Lower performance
B. Higher performance
C. Conflict
D. Confusion
✅ Correct: B
14. Goal commitment refers to:
A. Writing goals
B. Evaluating goals
C. Determination to reach goals
D. Changing goals
✅ Correct: C
15. Participation in goal setting helps to:
A. Reduce accountability
B. Increase resistance
C. Improve goal commitment
D. Delay decisions
✅ Correct: C
16. Goals influence behavior by providing:
A. Authority
B. Direction
C. Punishment
D. Control
✅ Correct: B
17. Which factor affects the impact of goals on performance?
A. Job knowledge
B. Office layout
C. Dress code
D. Company size
✅ Correct: A
18. Feedback is important because it:
A. Eliminates goals

B. Controls employees
C. Shows progress toward goals
D. Replaces planning
✅ Correct: C
19. Contingency planning involves:
A. Ignoring uncertainty
B. Developing alternative plans
C. Long-term forecasting
D. Cost control
✅ Correct: B
20. A major obstacle to planning is:
A. Employee motivation
B. Stable environment
C. Rapid environmental change
D. Clear objectives
✅ Correct: C